M/S. KRIPYA SOLUTIONS PRIVATE LIMITED
(CIN: U72501TN2006PTC061013)
Notes Forming Part of Consolidated Financial Statements

GENERAL INFORMATION

The Company was incorporated on 04th September 2006 as a private limited company, having its registered office situated at *"SP 27C, 4th Floor, Indiqube Kush, Kochar Kushboo, Thiru Vi Ka Industrial Estate, Guindy, Egmore, Chennai – 600032, Tamil Nadu"*.

The Consolidated Financial Statements include the financials of the Parent Company, M/s Kripya Solutions Private Limited, and its subsidiary, M/s Kripya Technologies Private Limited (formerly known as Kripya Technologies (India) Private Limited). These statements comprise the Consolidated Statement of Profit and Loss for the year ended 31st March 2026, the Consolidated Balance Sheet, and the Consolidated Cash Flow Statement as at that date. During the year, the Parent Company was engaged in the development and maintenance of engineering and application software, along with related activities. The Subsidiary Company, although not operational during the year, is principally engaged in research, market analysis, development of solar-related projects/products, assembly of solar equipment, and software consultancy services.

Note 1 - SIGNIFICANT ACCOUNTING POLICIES

A. Basis For Preparation of Consolidated Financial Statements

   a. The Consolidated financial have been prepared under historical cost convention on accrual basis and comply with notified accounting standards as referred to in Section 133 and other relevant provisions of the Companies Act, 2013.

   b. The Companies are a small and medium sized Company as defined in the General Information in respect of Accounting Standard notified under the Companies Act, 2013 with the Accounting Standard as applicable to small and medium sized Company. Accordingly, the Company has complied with the Accounting Standards as applicable to small and medium Sized Company.

   c. All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of products and the time between the acquisition of assets for processing and their realization in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for the purpose of current, non-current classification of assets and liabilities.

B. Principles of Consolidation

   The financial statements of the Company and its subsidiaries are combined on a line-by-line basis by adding together like items of assets, liabilities, equity, incomes, expenses and cash flows, after fully eliminating intra-group balances and intra-group transactions.

C. Inventories

   a. Inventories are valued at lower of Cost or Net Realizable Value.
   b. Scraps are valued at Net Realizable Value.

D. Prior Period Items

Significant items of income and expenditure which relate to prior accounting period are accounted in the Statement of Profit and Loss under the head “prior period adjustments” other than those occasioned by events occurring during or after the close of the year and which are treated as relatable to the current year.

E. Depreciation

Depreciation is provided by Straight line method in accordance with the rates arrived at based on the life of the asset specified in the Schedule II to the Companies Act, 2013 or estimated by the management.

F. Revenue Recognition

a. Revenue from software services through time and material contracts is recognized based on the time spent as per the terms of the contract.

b. Revenue from fixed contract is recognized based on the completion of the contract. Foreseeable loss, if any, on completed contracts is recognized immediately.

c. Revenue in respect of interest and other income are recognized and accounted for to the extent the Company is reasonably certain of their ultimate realization.

G. Property, Plant & Equipment and Intangible Assets

a. Tangible Fixed Assets are recorded at cost of acquisition or construction (including interest/financial charges and expenditure incidental and related to such acquisition/construction).

b. Intangible Fixed Assets are stated at acquisition cost, net of accumulated amortization and accumulated impairment losses, if any

c. Subsequent expenditures related to an item of fixed asset (both tangible and intangible) are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

d. Losses arising from the retirement of, and gains or losses arising from disposal of fixed assets which are carried at cost are recognized in the Statement of Profit and Loss.

e. Machinery Spares other than those required for regular maintenance are capitalized at cost.

G. Foreign Currency Transactions, Forward Contracts and Derivatives

a. Transactions in foreign currency are recorded at the rate of exchange prevailing on the date of the transactions.

b. Exchange differences either on settlement or on translation are charged to expenses in the Statement of Profit and Loss.

H. Investments

Long term investments are valued at cost after appropriate adjustment, if necessary, for diminution in their value which are other than temporary in nature. Current Investments are stated at lower of cost and fair value.

I. Employee Benefits

a. Short term employee benefits are recognized as an expense at an undiscounted amount in the Statement of Profit and Loss of the year in which the related service is rendered.

b. The eligible employees of the Company are entitled to receive benefits under the Provident fund, a defined contribution plan in which both the employees and the Company make monthly contributions at a specified percentage of the covered employees' salary. The Company recognizes such contributions as expense of the year in which the liability is incurred.

c. The Company provides gratuity to its employees under a defined-benefit plan. With effect from FY 2024-25 the plan is funded through a recognized gratuity trust administered by the Life Insurance Corporation of India (LIC). The liability is actuarially valued each year using the Projected Unit Credit Method; actuarial gains and losses are recognized immediately in the Statement of Profit and Loss.

d. The Company provides superannuation to its employees covered as per the terms of employment and the company made provision for the same in their books of accounts.

J. Employee Stock Option Scheme (ESOP)

The Company has implemented the Employee Stock Option Scheme (ESOP 2022) with the following accounting policies:

a. Scheme Overview:
   - ESOP 2022 grants stock options to selected employees, with vesting contingent upon continued employment.
   - Options vest equally over a three-year period, with the exercise period starting from the vesting date and continuing until the end of employment, excluding the notice period.

b. Valuation Method:
   - The Intrinsic Value Method is adopted for valuing the ESOP.
   - The book value of shares, derived from audited financials, is used as the share price since the Company is not listed.
   - The intrinsic value is calculated as the difference between the book value of the shares and the exercise price of the options.

c. Employee Compensation Expenses:
   - Employee compensation expenses are recorded in accordance with the guidance note on ESOP accounting, based on the intrinsic value method.

- Adjustments to intrinsic value are made at the time of vesting and for options outstanding at the reporting date.

d. Forfeiture of Options:
   - No forfeiture of options is considered in the computation of employee compensation expenses, as no attrition is anticipated among the employee's granted options.

e. ESOP Trust:
   - The "Kripya Employee Stock Option Trust" was established to facilitate the issuance of stock options.
   - The trust manages the issuance and vesting of shares under the granted options.

These policies ensure the ESOP 2022 is managed and accounted for in accordance with regulatory guidelines and standards.

K. Borrowing Cost

a. Borrowing cost on working Capital is charged against profit/loss for the year in which it is incurred.

b. Borrowing cost that are attributable to the construction/acquisition of tangible fixed Assets are capitalized as a part of the cost of these capitalized assets till the date of completion of physical construction/mechanical completion of the assets.

c. Borrowing cost that are attributable to the development /acquisition of intangible assets are capitalized till the date of use.

L. Related party disclosures

The details of the related party transactions are disclosed in accordance with "AS 18 – Related Party Transactions", in the Notes on Accounts given below.

M. Taxes on Income

Current tax is determined as the amount of tax payable in respect of taxable income for the period. Deferred tax is recognized, subject to the consideration of prudence in respect of deferred tax assets, on timing differences, being the differences between taxable income and accounting income that originate in one period and are capable of reversal in one or more subsequent periods. For this purpose, deferred tax liabilities and assets are reckoned on net basis, after inter-set-off, for each component of the timing differences.

N. Impairment of Assets

The Company assesses at each balance sheet date whether there is any indication that any asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated. Impairment loss is recognized if the carrying value exceeds the recoverable amount.

O. Contingent Liabilities

Contingent Liabilities as defined in Accounting Standard-29 are disclosed by way of notes on accounts.

<u>Note 2 - NOTES ON ACCOUNTS</u>

1. **Capital and other commitments**

   Estimated value of contracts remaining to be executed on capital account/and other demands and not provided for is Rs. Nil (previous year Rs. Nil)

2. **Foreign current transactions**

   The following foreign currency transactions remain outstanding as at 31st March, 2026: (₹ in '000)

Nature	:	Export of services
Currency	:	USD
Previous Year	:	Rs. 66/- ($ 700)
Current Year	:	Rs. 237/- ($ 2,763)

3. **Property, Plant & Equipment**

   - The title deeds, comprising of all the immovable properties of land and buildings which are freehold, are held in the name of the Company as at the balance sheet date. In respect of immovable properties of land and building that have been taken on lease and disclosed as fixed assets in the financial statements, the lease agreements are in the name of the Company.

   - The Company has not revalued its Property, Plant and Equipment (including Right-of-Use Asset) since the Company has adopted cost model as its accounting policy to an entire class of Property, Plant and Equipment in accordance with AS 10.

   - The Company has not revalued its Intangible Asset since the Company has adopted cost model as its accounting policy to an entire class of Intangible Asset in accordance with AS 26.

4. **Inventory**

   - Closing inventory consists of goods that are used in the development of software and other related business activities of the Company.

   - The Company has physically verified the inventories at reasonable intervals and there are no discrepancies of 10% or more in the aggregate for each class of inventory were noticed during such verification.

5. **Impairment of Assets**

   The Company has examined carrying cost of its identified Cash Generating Units (CGU) by comparing present value of estimated future cash flows from such CGU's, in terms of Accounting Standard-28 on impairment of Assets, according to which no provision for impairment is required as assets of none of CGU's are impaired during the financial year ended 31st March, 2025.

6. **Employees emoluments include remuneration to a director as under:** (₹ in ‘000)

Particulars	FY 2025-26	FY 2024-25
Salary and Allowances	17,170	9,570
Contribution to Provident fund	180	Nil

7. **Share Based Payments**

a) The Company has, during the year, introduced Employee Stock Option Scheme i.e., ESOP 2022 under which options have been granted to selected employees, to be vested from time to time, on a condition of continued employment with the company. The total options granted are 13,200, which will have an equal vesting over a period of 3 years. Exercise period would commence from the date of vesting till the date of employment with the company excluding the notice period, if there is a decision to part ways.

b) The Company has adopted the Intrinsic Value Method for valuation of stock options under ESOP 2022, in accordance with the applicable accounting guidance. As the Company is unlisted, the book value of equity shares as per the latest financial statements has been considered as the fair value for computing the intrinsic value.

c) In line with the Guidance Note on Accounting for Employee Share-based Payments, the Company has recognized employee compensation expenses for the third and final vesting of stock options, which occurred on 18th December 2025. The intrinsic value per option was determined to be ₹ 1,224/-, based on the unaudited financial statements as on 30th November 2025.

d) No. of Options Outstanding

Scheme Name	Vesting	Financial Year of Grant	Financial Year of Vesting	No. of Options Outstanding	
				As at 31.03.2026	As at 31.03.2025
ESOP 2022	Vesting I	2022-23	2023-24	-	-
ESOP 2022	Vesting II	2022-23	2024-25	-	-
ESOP 2022	Vesting III	2022-23	2025-26	-	2,950
Total				**-**	**2,950**

e) Movement of ESOP during the year

Particulars	No. of Options	
	As at 31.03.2026	As at 31.03.2025
Opening balance	2,950	8,900
Add: Granted during the year	-	-
Less: Exercised during the year	(1,650)	(3,450)
Less: Vested Options Lapsed during the year	(1,300)	(2,100)
Less: Unvested Options Lapsed during the year	-	(400)
Closing Balance	**-**	**2,950**

8. Defined Benefit Plan - Gratuity (Funded)

- The Company provides gratuity to its employees under a defined-benefit plan. With effect from FY 2024-25 the plan is funded through a recognized gratuity trust administered by the Life Insurance Corporation of India (LIC). The liability is actuarially valued each year using the Projected Unit Credit Method; actuarial gains and losses are recognized immediately in the Statement of Profit and Loss.

- To facilitate funding and administration of the gratuity plan, the Company has constituted the "Kripya Solutions Private Limited Employees Gratuity Trust", an irrevocable, company-sponsored trust.

- No scheme curtailments, settlements or plan amendments (other than the initial funding) occurred during the year.

(i) <u>Reconciliation of Opening and Closing Balances of Defined Benefit Obligation</u> (₹ in '000)

Particulars	FY 2025-26	FY 2024-25
Defined Benefit Obligation at the beginning of the year	**10,239**	**-**
PV of Past Service Cost	-	9,428
Current Service Cost	2,948	2,232
Interest Cost	742	684
Acturial Gain	-2,981	-2,105
Benefits Paid	-1,713	-
Defined Benefit Obligation at the end of the year	**9,233**	**10,239**

(ii) <u>Reconciliation of Opening and Closing Balances of Planned Asset</u> (₹ in '000)

Particulars	FY 2025-26	FY 2024-25
Fair Value of Plan Assets at the beginning of the year	**11,738**	**-**
Contribution to Plan Assets	3,014	11,659
Return on Plan Assets (Interest Earned)	788	79
Benefits Paid during the year	-1,713	-
Additional Funds Transferred	25	-
Incidental Expenses	-8	-
Fair Value of Plan Assets at the end of the year	**13,844**	**11,738**

(iii) Reconciliation of Fair value of Assets and Obligations (₹ in '000)

Particulars	FY 2025-26	FY 2024-25
Fair Value of Plan Assets	13,844	11,738
Present Value of Obligation	9,233	10,238
Amount Recognized in Balance Sheet (Surplus)	**4,611**	**1,500**

(iv) Expenses recognized during the year (₹ in '000)

Particulars	FY 2025-26	FY 2024-25
Current Service Cost	2,948	2,232
Interest Cost on Past Benefits	741	684
Return on Plan Assets	-788	-79
Actuarial Gain	-2,981	-2,105
Incidental Expenses	8	-
Net Cost of Defined Benefit Plan [A]	**-72**	**732**
Opening Provision for Gratuity	-	22,315
Less: Gratuity Paid during the year from company funds	-	-256
Adjusted Opening Provision for Gratuity	-	22,059
PV of Past Service Benefit	-	9,428
Reversal of Excess Opening Provision [B]	**-**	**12,631**
Net Gratuity Expense during the year [A - B]	**-72**	**-11,900**

(v) Actuarial Assumptions

Particulars	FY 2025-26	FY 2024-25
Discount Rate (per annum)	7.25%	7.25%
Expected rate of return on Plan Assets (per annum)	7.25%	7.25%
Rate of escalation in Salary (per annum)	7.00%	7.00%
Withdrawal Rate (Depending on age)	1 to 3	1 to 3

9. Corporate Social Responsibility (CSR)

a) CSR amount required to be spent as per Section 135 of the Companies Act, 2013 read with Schedule VII thereof by the Company during the year is Rs. 15.37 Lakhs (Previous year: Rs. 7.52 Lakhs).

b) CSR expenditure during the year amounted to Rs. 15.40 lakhs (Previous year: Rs. 8 Lakhs). The amount was spent towards promoting of education.

10. Compliance with MSME Act

To comply with the requirement of the micro, small and medium enterprises development Act, 2006, the Company requested its suppliers to confirm whether they are covered as micro, small, and medium enterprises as is defined in the said Act. Based on the confirmations received, the Company has recognized them for the necessary treatment as provided under the Act, from the date of receipt of such confirmations and there is no default in payment to such enterprise as specified in the said act. However, the amounts, outstanding as well as interest applicable are insignificant and hence not separately disclosed.

11. Related party Disclosure (₹ in '000)

Name of the Related Party	Nature of Relationship	Nature of Transaction	FY 2025-26	FY 2024-25
Mr. Srinivasan Madhavan (Vice Chairman)	Key Managerial Personnel	Salary & Allowances	9,250	9,570
Mr. Madhavan Parthasarathy (MD & CEO)	Key Managerial Personnel	Salary & Allowances	7,920	-
		Contribution to PF	180	-
		Professional Charges	750	-
Mr. Ramamoorthy Srinivasan	Key Managerial Personnel	Salary & Allowances	7,730	3,427
		Contribution to PF	144	88
Mr. Ramaswamy Gopalaswamy	Key Managerial Personnel	Professional Charges	1,210	1,150
M/s. Kripya LLC, USA	Associates	Sales	4,81,342	4,06,946
Mr. Veeraraghavan	Key Managerial Personnel	Loans Repaid	-	400

12. Bank Balances

The Bank details shown in the Balance Sheet are representing the balances available on the date of the Balance sheet in the following accounts with the Schedule Banks: (₹ in '000)

Name of the Bank	Type of Account	As at 31.03.2026	As at 31.03.2025
Deutsche bank	Current A/c	669	7,492
ICICI Bank Ltd, T.Nagar, Chennai	Current A/c	12,790	8,107
SBI, Nungambakkam, Chennai	Current A/c	432	427
SBI, T Nagar	Current A/c	9	10
ICICI Bank Ltd, T Nagar, Chennai	Current A/c	164	610
Total		**14,064**	**16,646**

13. Investment in Mutual Funds (₹ in '000)

Mutual funds are carried at lower of cost and fair value, determined on an individual investment basis, determined on an individual investment basis. Fair value is the net asset value declared by the respective asset management company as at 31st March 2026.

Particulars	Amount
Aggregate amount of quoted investments (cost)	58,257
Less: Provision for diminution in value	(2,615)
Net Value of Mutual Funds	55,642
Mutual fund in Transit (Switch transaction)	1,967
Total Value of Investment in Mutual Funds	**57,609**

14. Key Financial Ratios

Particulars	Unit of Measurement	March 31, 2026	March 31, 2025	Variation in %
Current Ratio	Times	21.11	13.05	61.76%
Debt-Equity Ratio	Times	NA	NA	NA
Debt Service Coverage Ratio	Times	NA	NA	NA
Return on Equity Ratio	%	34.88%	63.06%	-44.69%
Inventory Turnover Ratio	Times	849.23	52605.89	-98.39%
Trade receivables Turnover Ratio	Times	313.24	342.94	-8.66%
Trade payables Turnover Ratio	Times	160.60	168.28	-4.56%
Net Capital Turnover Ratio	Times	1.63	1.87	-12.83%
Net Profit Ratio	%	19.40%	26.45%	-26.65%
Return on Capital Employed	%	29.66%	47.15%	-37.09%
Return on Investment (Assets)	%	616.33%	1068.01%	-42.29%

Formula adopted for above ratios:

a. Current Ratio = Current Assets / Current Liabilities
b. Debt-Equity Ratio = Total Debt / Total Equity
c. Debt Service Coverage Ratio = (EBITDA – Current Tax) / (Principal Repayment + Gross Interest on term loans)
d. Return on Equity Ratio = Profits After Tax / Average Total Equity
e. Inventory Turnover Ratio = Turnover / Average Inventories
f. Trade receivables Turnover Ratio = Turnover / Average Trade receivables
g. Trade payables Turnover Ratio = Turnover / Average Trade payables
h. Net Capital Turnover Ratio = Turnover / Working Capital
i. Net Profit Ratio = Profits After Tax / Turnover
j. Return on Capital employed = Profits After Tax / Shareholder's Funds
k. Return on Investment (Assets) = Profits After Tax / Total Fixed Assets

Reasons for variations more than 25%:

1. Current Ratio (Increase 61.76%)
   The increase in the current ratio is due to higher cash inflows during the year as a result of profits during the year majorly held in fixed deposits and mutual funds.

2. Return on Equity (Decrease 44.69%)
   The increase in return on equity is due to decline in net profits, besides increase in the turnover.

3. Inventory Turnover Ratio (Decrease 98.39%)
   The decrease in the inventory turnover ratio is due to a significant increase in closing inventory held by the entity.

4. Net profit Ratio (Decrease 26.65%)
   The decrease in the net profit ratio is due to reduction in profit after tax in current year.

5. Return on capital employed (Decrease 37.09%)
   The decrease in the return on capital employed ratio is due to reduction in profit after tax in current year.

6. Return on Investment (Decrease 42.29%)
   The decrease in the return on investment ratio is due to reduction in profit after tax in current year.

15. Other General information

The Company is engaged in the business of software development, services, maintenance and consultancy mainly related to General Engineering. The production and sale of such software cannot be expressed in any generic unit. Hence it is not possible to give the quantitative details of sale and certain information as required under notes to revenue.

16. Previous Year Figures

The previous year figures have been reclassified / regrouped wherever necessary, for the purposes of comparison with the current year figures.

As per out report of even date

For RVK & Co.
Chartered Accountants
FRN: 015063S

For Kripya Solutions Private Limited

R V Krishnan
Proprietor
M. No. 028364
UDIN:

Parthasarathy Madhavan
MD & CEO
(DIN: 10265669)

Ramaswamy Gopalaswamy
Director
(DIN: 00650290)

Place: Chennai
Date: 21-Aug-2026